

Churn in banking, also known as customer attrition, is when a customer closes their accounts, etc (Bank)

Use Cases in Banking Industry :

- **Churn Models** : These Models are built using Data Science techniques to identify Customer attrition (how much customer churn affects the business)
- **Cross Sell Models** : These Models are built to identify Customers who have high propensity to buy new products from existing schemes
- **Forecasting Models** : These Models are built to Forecast Saving Rates , Renewal Rates
- **Lead Generations Models** : These Models are built to Forecast to generate Schemes like New Schemes
- **Regulatory Models** : These Models are built on RBI regulatory Guidelines, like IFRS Model

There are two types of Customers in the Banking Sector

- **Asset and Liability**
- **1. Liability Customers** : Liability customers are those who deposit the money in the Bank. They earn Interest on the Money which they deposited
- In Indian Banking Systems we have : Saving Deposits , Current Deposits and we have Fixed Deposits
- **2. Asset Customers** : Asset customers are the ones who take Loans from the Bank
- In Indian Banking Systems we have : Home Loans , Business Loans , MCA21 Loans , etc